

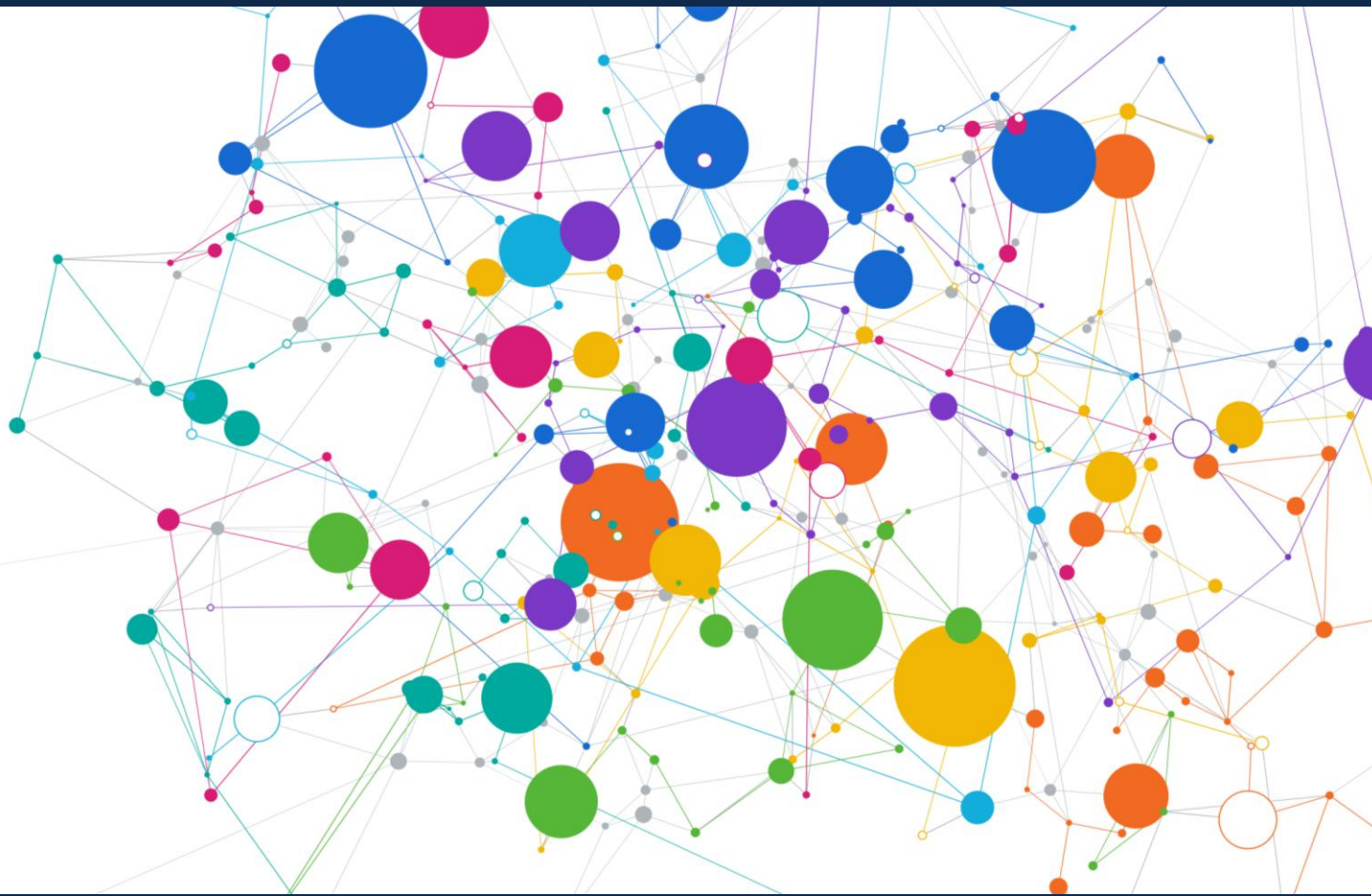


MEDIA CREDIT INSIGHTS 2026

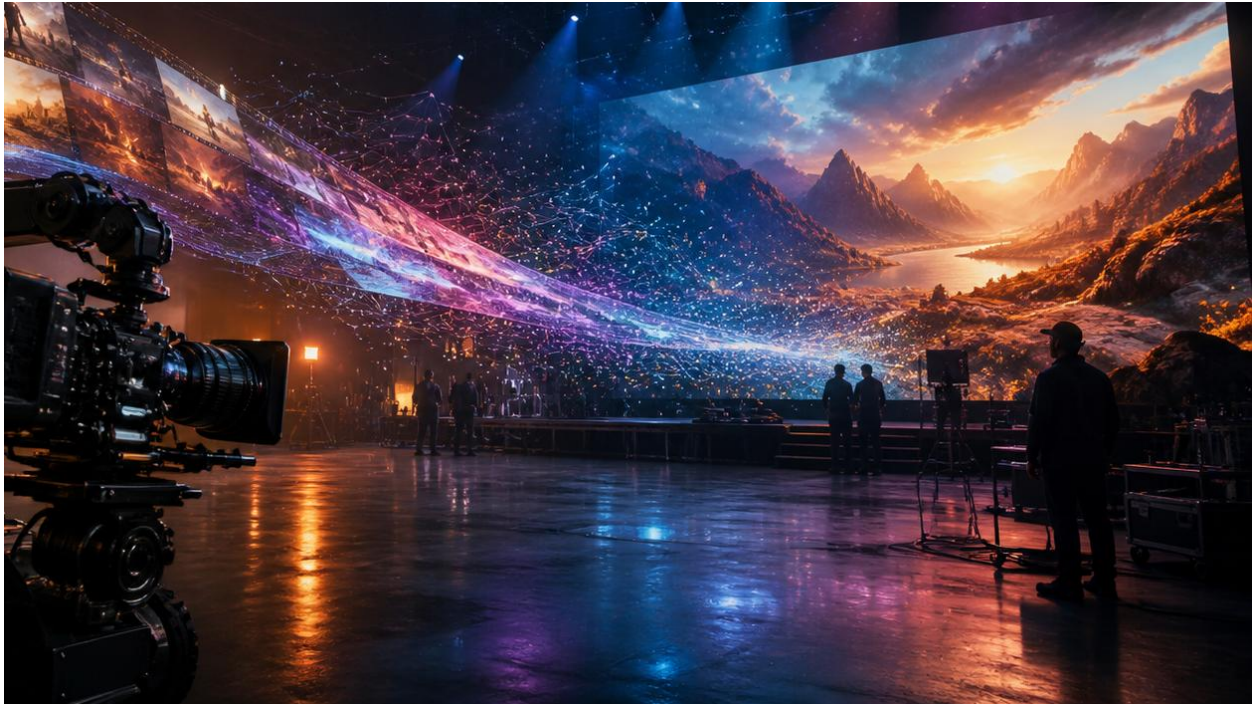
# FILM + TV PRIVATE CREDIT INSIGHTS

"Predictive Media Credit Models & Benchmarks"

Regression Analysis of Media Credit Structures, Loan Performance, and Box Office Outcomes



Q3 | 2026



## Overview

**There has always been an inherent contradiction at the center of the film business. We manufacture vivid dreams and motion pictures from boring paperwork.**

Before the cameras roll, a production may already be surrounded by contracts – a tax incentive promised by a government, a presale signed by a distributor, a minimum guarantee from a streaming service, a completion bond meant to ensure delivery.

To the audience, the result is art or entertainment. To the lender, this is a collection of receivables waiting to be liquidated.

That distinction is creating a small but increasingly institutional corner of the capital markets: media credit. It's a phrase that sits just outside the traditional lens of production finance. Films can be hits or flops; television trends turn quickly; audiences are notoriously unforecastable. Yet, the central proposition of media credit is that they need not forecast audiences at all. They can lend against identifiable sources of repayment and get repaid before the market has rendered an artistic verdict.

This is not the same as saying that media credit financing is safe, nor that every contract is guaranteed money in the bank. Rather, the media economy contains different layers of risk, and that finance becomes more rational when those layers are separated. The emerging asset class is built on that act of separation.

For our most recent report, I wanted to explore whether the data could confirm this. Whether somewhere under all the boring underwriting models, presale reports, and cash receipt statements if there was something lurking in the data that correlated with outcomes at the box office with audiences. As a lender FilmHedge and others like it are mostly insulated from box office ups and

downs but that doesn't mean there might not be things we see that could be useful to those who are more exposed to the swings of audience. This led to the thesis of the accompanying research paper released entitled "[Divergent Correlation: Credit Structure, Lender Outcomes and Box Office Performance](#)". While both are presented as parts of the same combined 50+ page study, that paper is more academic in nature delves deep into the math of predictive analytics, statistics and data science. Don't fret, for everyone who doesn't who doesn't geek out over regressions, p values and Bayesian curves, you'll find the most relevant parts of that research paper summed up here.

The paper outlines a statistical and probabilistic research study that looks for correlations between the signals used in media credit underwriting and the signals used for measuring box office performance and success. We then explore the findings and what the results mean for underwriting and Film/TV finance, generally. We found several pre-existing papers that performed similar analysis on actors, genre or key topics could be used as predictors of performance, but none on private credit, media credit, or lender underwriting. Certainly none with recent (post-Covid) data.

We hope this paper serves other lenders, banks, fintech companies, and other financiers as they approach media finance as an asset class. We produce research like this to remove the confusion and FUD (fear, uncertainty and doubt) surrounding film and television finance. With proper controls and rich data, media can be an asset class like any other.

Sincerely,

Jon Gosier

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## The Picture That Was Promised

Equity investors finance the picture.

They own the residual claim: after distributors, guilds, lenders and other senior participants are paid, whatever remains belongs to them. If a film becomes a phenomenon, equity can multiply. If the film disappoints, equity is often the first capital lost. Its return depends on the commercial success of the film or television production once released.

Lenders finance the promise.



*The prince who was promised, Kit Harington's Jon Snow, Game of Thrones*

Lender returns are generally capped at principal, interest and fees; they do not require a surprise blockbuster. The important questions are narrower. Who owes the money? Under what contract? What conditions must be satisfied before payment? Can the lender perfect a security interest, control collections and survive a delay? What happens if the production is not delivered, the tax authority audits the claim or the distributor disputes acceptance?

In practice, media debt ranges from conservative to speculative. A loan against a verified tax credit or a signed obligation from a highly rated distributor resembles trade finance: cash is advanced against a contractual payment expected later. A pre-sale loan depends on successful delivery by the producer and the buyer's solvency. A gap loan, backed by estimates of unsold territories or future distribution value, moves closer to underwriting demand. Library and music-royalty loans are longer-duration claims on recurring cash flows. Corporate facilities to studios add the borrower's enterprise risk. Calling all of these 'film finance' obscures more than it explains.

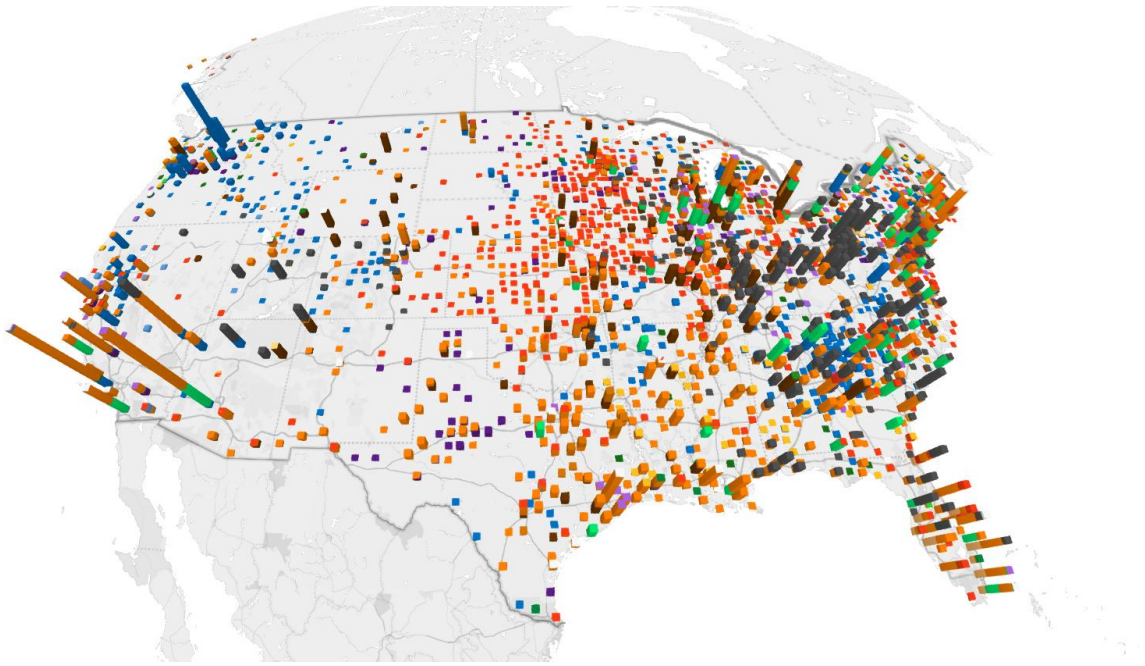
## The Old Maps and The New



Hollywood spent decades running on a scarce commodity: the appearance of creative certainty.

A producer arrived with a script, a cast, a sales estimate and a handful of territory buyers. Studio chiefs and distributors converted taste, relationships and precedent into a coveted *greenlight*. A deal may or may not be a fit, but everyone understood the map. 'The map' was the landscape of the media consumption industry.

Then that map filled with data.



A higher-fidelity, map with infinite granularity allowed execs to trace every atomic detail of the industry, financial results, and audience behavior. Streaming platforms allowed executives to see who watched, who stopped, who backed up to their favorite scenes over and over, who binged a new release all weekend, who returned after weeks away from the platform, and what images persuaded a particular viewer to press play. They could detail audience behavior down to the millisecond.

That abundance helped disrupt a presale distribution model that had defined the producer-distributor relationship for decades. Presales depended on a chain of imperfect but shared estimates about what a film might be worth in Germany, France, Britain or Japan. Direct-to-consumer platforms accumulated global behavioral data, bought rights at scale and kept much of the resulting performance information private. The old information chain lost its center.

At FilmHedge we described this transition as a move from the old vertically integrated Hollywood toward a disaggregated, trade-finance-like market in [The New Golden Age of Hollywood Is a 'Gilded Age.'](#) where producers, lenders, sales agents, tax-credit financiers and distributors may each control a different piece of the same production. Data did not simply make the old model more accurate. It helped create a market with more participants, more private scoreboards and fewer common definitions of success.

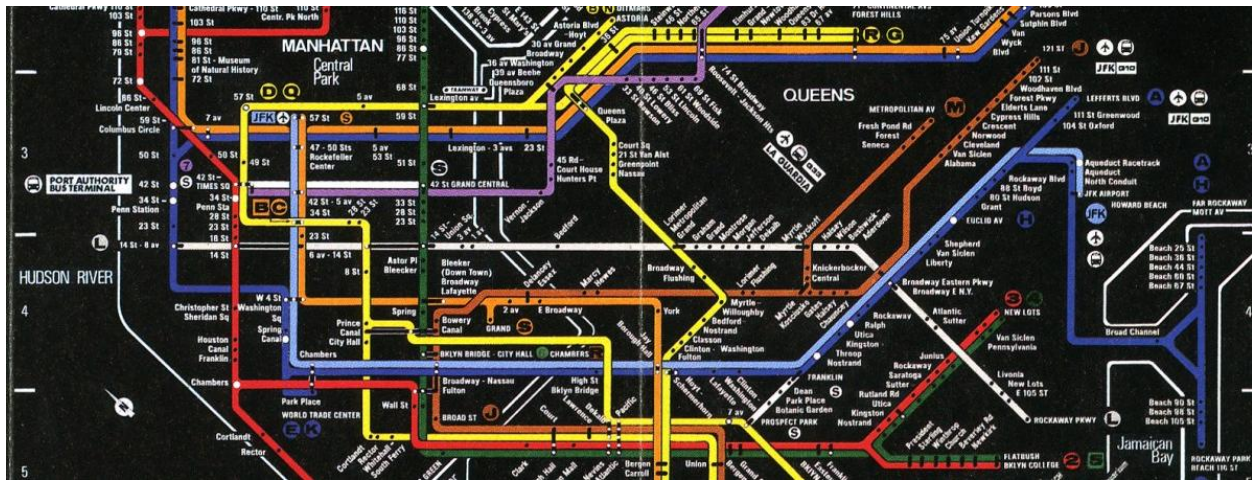
## The Atomization of Attention



About fifteen years ago, Netflix became the emblem of the new order. Contemporary reporting on [House of Cards](#) said the company could see an audience overlap among fans of the British original, director David Fincher and its leading actor. Netflix skipped the conventional pilot and committed to two seasons almost immediately. The story hardened into a Silicon Valley myth: the machine had found the hit before the first scene was shot.

The underlying capabilities were real. Netflix's [recommendation system](#) does use viewing behavior and related signals to help members discover titles. A [World Intellectual Property Organization case study](#) describes how audience data informed Netflix's view of potential demand and enabled targeted promotion. Those are powerful uses of information. They answer, 'Who might want this, and how do we put it in front of them?' But is the data predictive? These are great tools for telling us what happened, but how good at they at telling us what might happen next?

Recommendation engines observe behavior around existing catalogs; the studio 'greenlight' wagers on an executive bet. That productions will land with audiences. Historically, execs could only use their *gut*—their internal algorithm that draws from everything he or she learned from past successes and failures. Conflating those tasks (looking back versus looking forward) is like assuming a perfect subway map can tell you whether a train will arrive on time.



The map can improve your navigation but on its own the map can't solve for the signal system working properly at each stop, delays due to construction, or the person holding the doors at a few stops down on 59th Street. Any of those unknown variables can dramatically change the performance of the train even though train itself has might be just fine. It's these unknown unknowns within the system that data has yet to conquer, especially for media. Data gives us the map in high fidelity, but is there a way to use data to tame the unpredictable?

## Maps, Marquees and Models

Performance data from specialist media lenders and banks is scarce. Banks disclose little at the title level; private funds disclose even less. That leaves an awkward evidentiary gap for this industry. As a lender ourselves, FilmHedge is in a unique position to use years of our own data to conduct research projects like this.

For this analysis we used anonymized data collected from various sources to offer a detailed view on performance. At FilmHedge, over the past six years we've collected a data set that spans billions of media production deals. Many of these productions have been released theatrically and/or streaming. Arguably, it has become one of the largest (if not the only) data set of its type in the world. This database has become a useful tool for our institutional partners who need the *map* to guide their understanding in what is a new industry for them; media.

It's important to note our data is not an industry index; the figures have not been independently audited for this review. But in the absence of more available data, this analysis hopefully provides a useful, though admittedly imperfect proxy for how a disciplined media-credit book can behave.

Film-performance research usually begins and ends with the public record: **budgets, talent, release schedules** and **the box office**. Film-finance underwriting begins inside private closing files: **presales, tax credits, minimum guarantees, distribution agreements, collateral assignments, pricing, funding sources** and **repayment dates**. The two datasets almost never meet. One is the marquee; the other is the wiring behind it.

| Cohort                  | Inclusion rule                                             | <i>n</i>        | Analysis                                      |
|-------------------------|------------------------------------------------------------|-----------------|-----------------------------------------------|
| Study base              | Normalized funded loan; requested exclusions removed       | 34              | Portfolio description and exposure prevalence |
| Resolved payoff         | Status paid off; actual payoff date observed               | 22              | Payoff-day rank and group comparisons         |
| Primary survival        | Paid off or active; valid follow-up; undetermined excluded | 30 (22 events)  | Kaplan-Meier and Weibull proportional hazards |
| Public gross            | Worldwide public gross and positive budget observed        | 19              | Gross-to-budget models                        |
| Joint high-completeness | Paid off plus public gross, valid budget and principal     | 15              | Cross-domain lender/market tests              |
| Current obligor matched | Exact approved entity match                                | 9; 6 with gross | Descriptive only; primary model not estimable |

Source: anonymized lender dataset

Our latest study synthesized those views. We took a sample of 34 funded productions, funded by us or our partners, and then looked at the post-release performance, in-market, trailing theatrical distribution and audience reception.

## Visualization of the Data Set

A filled cell means the measure is available or the feature is present. Rows are anonymized and sorted by status, then follow-up.



For the **full 34-production study population**, the mean loan size funded was **\$5.84 million** and the mean production budget was **\$15.04 million**. Twenty-two had observed end-to-end loan payoffs (clearing pre-distribution debt). Eight remained active, beyond the time of our study. Four had undetermined outcomes due to incomplete data. 19 had public theatrical gross and 15 had both an observed payoff and public gross. The analysis used only the records complete enough for each question.

### Summary of Data Population Used for this Study

|                                                                  | Films (n) | Total (USD)   |
|------------------------------------------------------------------|-----------|---------------|
| Underwritten loan principal—all study productions                | 34        | \$198,635,732 |
| Underwritten loan principal—productions with reported box office | 19        | \$146,560,433 |
| Reported worldwide theatrical box-office gross                   | 19        | \$144,574,865 |

Table 1: 34 feature films, 19 released theatrically

| Study population                            | Measure                 | n  | Mean (\$MM) | Median (\$MM) | SD ( $\sigma$ ) |
|---------------------------------------------|-------------------------|----|-------------|---------------|-----------------|
| Full study                                  | Loan size               | 34 | \$5.84      | \$4.81        | \$5.32          |
| Full study                                  | Total production budget | 34 | \$15.04     | \$14.50       | \$10.77         |
| Joint high-completeness subset <sup>1</sup> | Loan size               | 15 | \$8.40      | \$8.71        | \$5.74          |
| Joint high-completeness subset <sup>1</sup> | Total production budget | 15 | \$19.95     | \$18.00       | \$11.13         |

Table 2: Loan sizes and production budgets, USD Millions

| Study population                                      | n  | Mean (\$MM) | Median (\$MM) | SD ( $\sigma$ ) |
|-------------------------------------------------------|----|-------------|---------------|-----------------|
| Full study—productions with reported box office gross | 19 | \$7.61      | \$0.75        | \$15.30         |
| Joint high-completeness subset <sup>1</sup>           | 15 | \$8.93      | \$0.75        | \$17.03         |

Table 2: Productions with reported box office gross

<sup>1</sup> Productions with the most complete data sets across all research fields.

Only 19 of the 34 study productions reported grosses. The other 15 were excluded. The distribution was strongly right-skewed: three productions generated 86.3% of reported gross, raising the mean substantially above the median. In short, the box-office averages were heavily influenced by a few outlier results.

The median describes the middle ground; while standard deviation shows how much dispersion the average alone leaves hidden. Loan amounts represent underwritten principal. Box-office gross is theatrical revenue before deductions; it does not represent lender recovery or total film revenue.

Those statistics overall describe a great variation in deal size while the box-office statistics describe variation in reported theatrical outcomes. Neither directly measures loan-default risk or any correlation between media credit underwriting and theatrical outcomes.

The portfolio contained professionally financed productions with meaningful budgets (average \$15.04 million), recognizable talent and real distribution, rather than a collection of hypothetical packages. The study did not code star power as a standalone predictor, in fact we ignored that completely. Other groups have already tried (with mixed results) to demonstrate whether name talent was a modern predictor of success at the box office. (Hint: increasingly not.) This research paper on motion-picture performance uncertainty by [Arthur De Vany and W. David Walls](#) has previously found that rare blockbusters dominate the averages and stars do **not** eliminate the heavy-tailed nature of box-office outcomes.

## Schrödinger's Loan Status

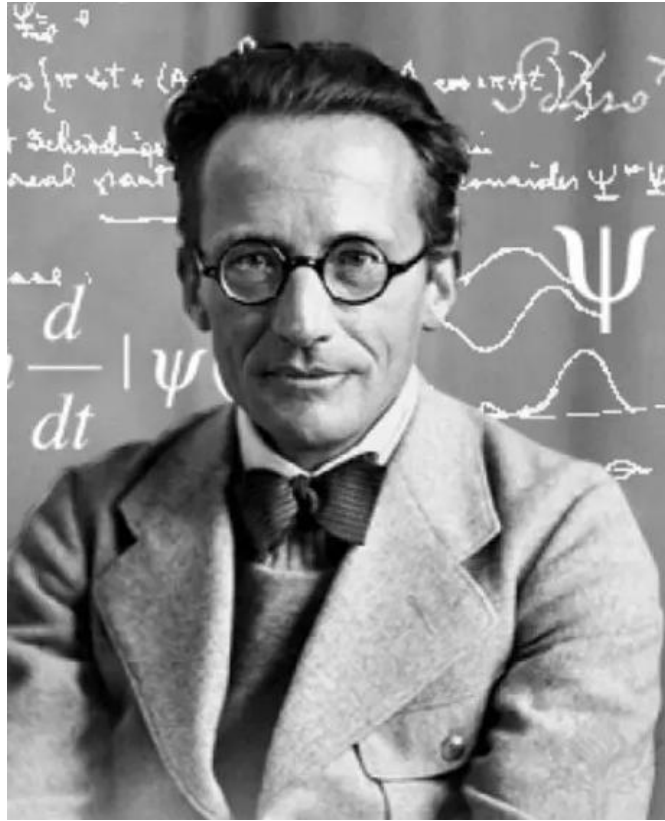
Our study began with a hope familiar to every data organization – that our particular type of data would be predictive of market outcomes in ways we could capitalize on. Specifically, that richer pre-release information would produce cleaner downstream performance patterns. What came back was the opposite. It was chaotic. Wide intervals, sparse grouping, correlations near zero and effects that changed direction when the model accounted for vintage – the opposite of validation. Like [De Vany and Walls](#), we went into this research trying to demonstrate one thing and may have inadvertently demonstrated proved ourselves 100% wrong.

We found no stable evidence that financing structures at the development or pre-production stage, the earliest-stages of production, had any effect on performance at the later-stage once a film reached audiences. Good or bad. This may be a limitation of the data set itself, as 34 productions isn't exactly a huge universe to explore. Only time will tell if, replaced with larger data sets, the outcome of a similar study will remain the same.

The practical takeaway: films that get made at all is really the only measure that matters. Don't over-intellectualize the finance strategy because there few observable deterministic factors that indicate what's going to happen on release anyway. Whatever gets you financed is what wins. Well, to clarify, Getting financed starts the production; the financing terms determine which risks remain yours. Some producers who swear by raising equity, working un-bonded, and working non-union are actually getting in their own way if there are easier paths to financing if they are open to debt—and vice versa.

We used statistics and data modeling to avoid turning a small set of interesting observations into a universal market prediction. Instead, ranked correlations asked whether projects generally finished in the same order on two measures, without assuming the relationship formed a straight line. Logarithms were used to compress larger projects and industry outliers on a scale alongside smaller, less widely distributed projects. Bootstrap intervals rebuilt the sample to show how much an estimate moved when a few projects changed places.

Time-to-payoff models treated active loans as unfinished. Incomplete data marked inconclusive outcomes. To use an analogy, a delayed subway train still in the tunnel is not missing, it's just too soon to observe. It might be on time, it might be late. We won't know until enough time passes or it shows up.



*"To be? Or not to be? Why not both!" - Erwin Schrödinger (not, really)*

Our model recorded that the production loans were outstanding and acknowledges that the arrival time (delivery of the film) remained unknown, but so did default status. These loans are simply still outstanding.

For the wider analysis, we used Bayesian models to add modest regularization. The standard for useful results was intentionally demanding: the interval had to exclude neutral results, the direction had to survive reasonable model changes, the exposure needed enough variation, and the measurement process could not be limited by loan vintage or loan status. This is a fancy way of saying we let the unfiltered data tell us what the observations were instead of curating the data to match our assumptions.

## Predictable Price ≠ Predictable Hits

Our study benchmarked our internal credit grading and observed loan performance against public-gross efficiency and payoff timing. We wanted to investigate if there was any relationship between media credit structuring and how productions ultimately performed. The results of that part of the study were far from conclusive, but it's work we'll continue to explore. However, the study did yield a number of other useful insights.

For a lender, credit grading has a high, tightly correlated relationship with loan performance. High scores (meaning higher on the risk scale) with a lender usually translates to more money/higher interest rates, while low scores usually indicate lower risk and stronger performance. Here, market relationships were weak. This doesn't suggest much other than film loan underwriting won't affect the box office any more than the box office will affect loan underwriting (if there's no exposure to equity).

For older productions measured (pre-Covid), the rank correlation with gross efficiency was  $-0.10$ , with a broad interval spanning  $-0.54$  to  $0.39$ . Correlation with the prestige or popularity of the distributor was similarly weak. Translation: these measures failed to reliably predict theatrical winners from losers. What does this mean for a producer? Passing a lender's test to get funded and get into production neither helps nor hurts success post-release.

This doesn't mean lending data can't be useful to studios and producers, it just means it doesn't really present an alternative to 'the gut' feeling that was paramount in years prior – the outcomes of both are equally unpredictable.



*Turns out using tons of data or trusting studio execs like Tom Cruise's Les Grossman are equally unpredictable.*

Payoff timing on production loans initially looked more promising correlation to later box office success. That would make sense, responsible borrowers should indeed translate to something meaningful. But even when it came to these results, the data was peculiar.

In a one-variable model, deals with weaker credit grading appeared to pay faster. The thought being that it would reveal that taking more risk (hence the lower grade), and controlling more leverage, at an earlier stage in the filmmaking process might actually be an indicator of future success. But after replicating those models across different time strata, loan structures, and collateral leverage, that particular effect collapsed: the estimated hazard ratio moved from 1.61 to 1.02, effectively neutral. The apparent insight was a calendar artifact. Older records had more time to resolve and, after looking at the underlying support on those deals we realized they were mostly from a cohort of larger budget, pre-COVID films.

The taxonomy itself revealed another warning. Among 29 similar loans, the historical recorded tier and the current price-implied tiers agreed exactly only four times, or 13.8 percent. It does say something about how our underwriting models have evolved over time, though. Deals that were once considered risky are now given more grace by lenders. That itself isn't a surprise because it tracks what one might call a 'softening' presale marketplace. The strict underwriting standards of 2018 would weed out most deals in 2026. As a result, underwriting has had to evolve with market conditions. Still, this means the data showed no correlation with eventual performance following release.

That distinction sharpens our earlier claim that proprietary data informs risk analysis and deal terms in our [2023 private-credit report](#). Lender underwriting data can support consistency, interest rates, offer pricing discipline and improve documentation while still falling short as a box-office oracle. The risk profile of a production's capital stack remains uncorrelated with later outcomes. Lending offers secured receivables as collateral and more predictable returns than taking risk on films in other ways, like equity investing.

But I suppose we, a lender, don't get any points for making the case that it's a safer position to be a lender than an equity investor in film and television finance!

## The LTV Stack

Another area we investigated is whether lenders who attempt to control more of the capital stack are on to something. It would make sense; if you control all the receivables in a deal, you'd avoid sharing economics with other lenders and maximize your own returns. We call these 'blended' loans – combining claims on more than one collateral source available in a deal. For example: State Tax Credits and Pre-Sales; or Pre-Sales and Minimum Guarantees. That entire collateral stack can (and often does) diversify repayment risk for lenders.

In practice, our data set had five blended loans in the primary survival cohort and just two observed payoffs on those blended loan deals. Blended loans remained unpaid 166 days longer on average, but the uncertainty interval ran from 82 days faster to 393 days slower. A comparison using only completed payoffs pointed the opposite way.

The disagreement was informative. Looking only at loans that have already paid off throws away the active observations and rewards whichever deals had time to finish. Well underwritten loans overwhelmingly perform exactly as anticipated, on time, on budget, and without default. Multiple collateral items may diversify value, but they can also multiply risk – more documents, more counterparties, more payment calendars to be concerned with and more opportunities for delay. Once vintage (a.k.a time) entered the full survival model, the blended effect changed direction again. The portfolio supplied no stable blended premium or penalty.

The study's strongest adjusted association also countered one of our common internal assumptions and supports the above findings. Here, we found higher loan-to-value allocations did seem to be associated with faster payoffs. This means, controlling the capital stack with blended loans doesn't necessarily indicate downstream performance success, it does seem to be associated with short term lending success.

After accounting for vintage and other modeled factors, a one-standard-deviation increase in log LTV corresponded to roughly twice the payoff hazard, with a 95 percent credible interval from 1.14 to 3.80. The model assigned a 99.1 percent posterior probability to the faster-payoff direction.

That finding does not turn leverage (or controlling as much collateral as possible) into a risk mitigant on its own. Lenders should approve a high-LTV advance only when the collateral is unusually clear, the payment source is controlled, completion risk is well protected, or the collection cycle is short. Safer hidden features can therefore travel with higher visible leverage. The result is a selection hypothesis: disciplined underwriting may permit more leverage where other protections are strongest. Raising LTV because the historical coefficient looked attractive would reverse the logic.

The takeaway, being greedy in deals can fatten returns but it may raise risk in other areas.

## The Distributor Dilemma

Distributor grading feels like it'd be closer to being a performance predictor. Stronger buyer, safer payment. Over the years we've amassed a database of distributors and streamers that we track and monitor. This allows us to credit-rate them based on observed signals as opposed to just intuition. There are over 151 in our database: 66 domestic and 87 worldwide. We used this distributor data to match our film performance data set against to see if the quality of the distributor offered any sort of predictive insight. Do bigger name distributors guarantee better profitability outcomes?

### A Snapshot of Our Distributor Database

| Measure                                | Finding                                                                                                                                                                    |
|----------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Total coverage                         | 153 records: 66 domestic/worldwide and 87 international                                                                                                                    |
| Distributor count                      | 115 distinct names across 117 records have "distributor" in their recorded category. The broader population also includes streamers, networks, studios and other obligors. |
| Geographic coverage                    | 28 international territory/channel labels, including regional groupings and Airlines; these are not 28 separate countries                                                  |
| Management-approved guidance           | 69 records – 45.1% of the population                                                                                                                                       |
| Provisional guidance                   | 82 records – 53.6%, comprising 31 domestic and 51 international records                                                                                                    |
| Blocked counterparties                 | 2 records – 1.3%, carry NO NEW EXPOSURE controls in the snapshot                                                                                                           |
| Internal score distribution            | AA: 58 (37.9%); BBB: 73 (47.7%); BB: 20 (13.1%); F: 2 (1.3%)                                                                                                               |
| Average credit rating                  | The source provides no numerical scale for averaging letter scores or external agency ratings. BBB is both the median and most frequent internal score.                    |
| Tier 1 concentration                   | 78.3% of approved records, compared with 93.9% of provisional records. Across the full population, 85.6% carry an internal Tier 1 classification.                          |
| Average guide pricing (interest rates) | 14.75% across 151 records with pricing; 14.84% for approved records and 14.67% for provisional records.                                                                    |

*The AAA-D credit system used in this study is an internal composite scale.*

Our sample set contained nine matched loans which were paid off; six of them also had public gross returns, with almost all of them clustered in high rating bands (a.k.a good credit).

Ranking distributors has operational value because legal entity, territory, contract terms, offsets and delivery conditions affect collectability and can be indicators of risk. We found good distributors may offer better controls, but they are still subject to performance unpredictability once their respective projects go to market. Ranking was based on known access to capital, number of titles released, number of titles represented, frequency their names show up in deals and so on. Exposure should also be assessed across related corporate groups, since distinct brands and territorial records can share economic risk.

For most, in the upper tiers of our scale there was no observable difference in outcomes than those that might rank lower. Even distributors with the most solid historical track records deal with the occasional “bracket buster” or flop that can significantly disrupt their standing. ‘Name’ distributors (usually Tier 1 2) aren’t necessarily ‘safer’ bets which admittedly creates a lot of anxiety for financiers.

This is why our public [Media Credit Wiki](#) helps financiers think about how to structure their exact exposure, repayment sources, legal rights and paths to recovery of cash. Users can discover distributors, sales agents, insurers and more. It’s more important to talk to them, set borrower controls, and structure good deals with them than it is to just rely on their respective brands and regions.

## Lenders Get Square, Box or Not

The most useful result may be the simplest. In the 15 projects with both public gross and observed payoff, theatrical efficiency showed only a weak relationship with loan payoff speed. The observed rank correlation was -0.16, and the interval stretched from -0.62 to 0.47. The future public success of a film supplied little reliable information about when the lender was repaid.

This is not surprising once the capital stack comes into view. Lenders are repaid from tax credits, presale agreements, minimum guarantees, streaming acquisitions or other contracted receivables. These pre-release media credit receivables are all essentially 'pay on delivery' as opposed to 'pay on performance'. Lender loans are repaid when films are received by the distributors, not when the distributors release the films. Public box office returns are post-release receivables and sit upstream of exhibitor splits, distribution fees, marketing costs, and the collection waterfall. A theatrically modest film can satisfy a secured repayment source and use it to repay a lender while still falling short of paying it equity investors. Meanwhile, a conspicuous hit can still leave a lender waiting on delivery documents, account statements or the right counterparty to move cash. This is why the controls matter.

Academic work on the [economics of filmed entertainment in the digital era](#) reaches the same measurement problem from the market side: streaming and ancillary performance are fragmented, privately held and difficult to compare. The data deluge produced more measurements while dissipating the common scoreboard.

Our study cohort also contained no coded borrower defaults. That is a favorable observed condition of the sample population, not a portfolio-wide claim. Statistically, little to no variation means we found no predictive pattern on which features separate defaults from non-defaults. This is good news for operations but an empty target for this regression analysis.

## An Underwriter's Delight

As a lender, our job is not to guarantee that a movie will work with audiences, that's the distributors job. A lender's job is to identify the portion of a volatile enterprise that can be made more legible and more controllable. We attempt to mitigate risk.

The underwriter's question begins with much smaller questions than the creative questions. For us it's simple: *What cash sources exist? Who owes the cash flows? What conditions must be satisfied? When should the production arrive? What legal rights, accounts, reserves and monitoring controls apply if it does not?*

*"The decisive question in media credit is not whether a film will **succeed**. It is whether payment obligations can **survive** the ways in which a film or television production can **fail**."*

In our [No Golden Tickets](#) post we breakdown what producers need to get senior lenders interested in funding their productions. In short, a budget, finance plan, collateral documents and (for some) completion protection because lenders financing evidence and execution, not loglines. Our essay [Only Funded Films Get Funded](#) compares a finance plan to the temporary structure that lets builders create a bridge foundation in moving water. The metaphor survives this study: underwriting does not calm the river. It creates a place where capital can stand.

That discipline can help the rest of a production's financing. These are the tools a senior film lender needs to underwrite a production. A loan against a contracted presale or statutory incentive can replace equity that would otherwise fund a lower-uncertainty portion of the budget. Completion requirements, controlled accounts, reporting and collection rights can reduce execution and documentation risk for the whole capital stack. Equity investors then put fewer dollars against the same production and can reserve their risk for the residual creative and market upside.

The distinction matters: leverage does not mechanically reduce the volatility of equity. Senior debt adds a fixed claim and can magnify losses when it is oversized. Structured lending can make a deal more capital-efficient and better controlled when the debt is matched to perfected repayment sources. This paper's inverse LTV association supports a story about selection discipline. It does not grant leverage a halo.



Acclaimed film producer and director Issa Rae on the set of "Screen Time"

## The Takeaway for Producers

For producers, the practical lesson of this study is to build the finance plan backward from repayment and delivery. Separate contracted collateral from estimates. Name the legal obligor and territory. Show the payment conditions, collection account, timing, priority and contingency. A package becomes more fundable when the lender can trace the cash path without having to share the producer's optimism about opening weekend.

Producers often describe a project by story, cast, director, and budget. A lender starts somewhere else: who owes money, under what contract or statute, after which conditions are satisfied, and how the lender maintains control of the payment cycles.

*"The finance plan is more than just accounting; **it tells the production's finance story.** A \$20 million film with verified receivables can be more financeable than an unsold \$5 million film."*

This is also the central difference between debt and equity financing. Equity absorbs the commercial outcome of the picture and may earn upside if the film succeeds. Debt expects scheduled principal and interest from identified cash flows. A lender may care about cast or genre

when those elements affect sales estimates or completion risk, but those creative features are not substitutes for collateral.

Most productions use more than one source, so the analysis follows collateral slices inside each parent loan. A blended loan can look safe in the aggregate while hiding a weak slice. Conversely, a creatively risky project by a new filmmaker with an unproven creative profile can still support a strong credit decision if its repayment sources are contracted, overcollateralized, and tightly controlled.

#### WHAT CAN REPAY THE LOAN

The credit is the claim, not the title. Generalized stack. Not a term sheet. No advance rates.

##### 1 TAX CREDIT

Statutory / program payment after qualifying spend and approval  
Eligible? Audited? When? Transferable? Still the law?

##### 2 DOMESTIC MG / RECEIVABLE

Contracted payment from a domestic distributor  
Credit of the buyer? Delivery conditions? Offsets?

##### 3 FOREIGN PRE-SALE / MG

Territory contracts  
Many obligors, delivery package, currency, collection control

##### 4 GROSS PRE-SALE STRUCTURE

Portfolio of contracted (and sometimes still-expected) sales  
Waterfall control and concentration

##### 5 GAP / SALES ESTIMATES

Advance against unsold territory value  
Estimate bias, liquidation, not a signed contract

##### OTHER TAX STRUCTURING (e.g. §181) — not in the stack

A taxpayer-position benefit, not a conventional receivable. Do not treat as equal to a tax-credit claim.

Most loans mix bands. Underwrite each slice before blending price or size. No sample mix %. No typical LTV.

Hollywood's old gatekeepers (the Les Grossman's of the world) liked to present their power to *greenlight* as an act of seasoned illumination. The new HBO series [Lanterns](#) gives the industry a timely reminder—possessing the green light and knowing what 'lurks in the dark' of the capital stack are two different powers.



*In brightest day, in blackest night, no finance plan shall escape my sight!*

Your superpower as a producer is to do the work for the financier. Deliver a strong finance plan that removes the guesswork for the lender. This makes it easy for them to bet on you and your productions.



*Henry Ian Cusick's Desmond Hume in the greatest episode of LOST "The Constant"*

## The Constant

The abundance of data changed Hollywood's distribution machinery because it changed who could reach audiences, who could measure their every move, and how audience engagement could be monetized. However, despite what seems to be the common narrative these days, the deluge of data could not repeal film performance uncertainty in any meaningful, or repeatable, way.

In this rare paired sample of data, pre-production finance and post-release returns were analyzed and cross sectioned to investigate this question in various ways. Was there anything emergent from the film finance plans or the capital stack of a film that might be predictive of the eventual market success of a film post-release? Media credit ratings, collateral types, genre, cast, and distributors all failed to consistently deliver stable predictions of box-office performance in our study. The one persistent leverage signal pointed toward stronger underwriting controls, not a new law of risk.

That makes this research relevant far beyond one portfolio or one lender. In our opinion, the industry should stop demanding that every dataset become a hit machine. Data can expose missing documents, separate price from risk, make collateral comparable, preserve decision history and show whether promised cash actually arrived.

The data is just the map, it tells you where you've been and where you're going. When you'll get to the destination and what state you'll be in once you arrive are the unknowns. Nonetheless, this type of lender data attracts capital because it reveals the parts of a film deal insulated from creative chaos.

The most valuable film-finance model may therefore be the one that knows the edge of its own frame. A well-*hedged* strategy, if you will.

Hollywood, and the greater film industry, now routinely outsource financing to private credit groups (FilmHedge is only one of many). It hands off analytics to data mining companies. Executives now pass the key art and CGI to A.I. companies. I'm sure it's increasingly frustrating that *audiences* are the one thing that's not so easy to offload. Audience remains the constant. They persistently keep 'the final cut' on what works in-market and what doesn't.

That one attribute remains the one Hollywood can't outsource - *attention*.

## Sources, Notes and Citations

Portfolio counts, effect estimates and methodological descriptions come from the accompanying MediaHedge research paper. Customer and project identities were pseudonymized and anonymized. The paper, [“Divergent Correlation: Credit Structure, Lender Outcomes and Box Office Performance”](#) that accompanies this document and the underlying support, can be found in our [research library](#).

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[The Guardian: Netflix Gathers Detailed Viewer Data to Guide Its Search for the Next Hit](#) - Contemporary account of the House of Cards data narrative.

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[FilmHedge: The New Golden Age of Hollywood Is a 'Gilded Age'](#) - Prior FilmHedge framing of disaggregated production and trade-finance relationships.

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[FilmHedge: FilmHedge Launches A.I. Tools for Media Finance](#) - Public statement that software supports, while human underwriters complete, credit decisions.

[FilmHedge: Introducing the Media Credit Wiki](#) - Current public decision-first framework for collateral, cash control and downside review.

[Warner Bros. Discovery Pressroom: Lanterns](#) - Official series information

## Contact

If you'd like to learn more about media credit, private credit in media, media production lending (MPL), or other opportunities in the film finance space, contact our team at FilmHedge:

- Lenders and investors interested in learning more about opportunities in the space can contact: [lender@filmhedge.com](mailto:lender@filmhedge.com)
- TV/Film producers can email: [producer@filmhedge.com](mailto:producer@filmhedge.com)
- If you have a question about the data in this report or want to consult our data team, contact: [data@filmhedge.com](mailto:data@filmhedge.com)

For more reports and research like this, please visit: <http://filmhedge.com/reports>

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